

Calderwood Partners LLC

www.calderwoodpartners.com

June 15, 2009

Sandra Frazier
VP Finance
Brown and Sons

Dear Ms. Frazier:

This letter sets down the terms on which our firm will act for Brown and Sons on the cost transformation we have discussed, and, once you have countersigned it, it will stand as the agreement between us. I have written it in the plain manner we prefer for such things, so that it reads as a faithful account of the conversation we had rather than as an instrument to be read against either of us, and I would ask you, before you sign, to measure it against your own memory of what was said and to tell me of anything that sits at odds with it.

The Work We Have Agreed to Undertake

The engagement is directed at the cost structure of Brown and Sons and at the practical question of where cost has settled that no longer earns the company anything, which is a different question from where cost is merely large, and we will keep the two apart with some care. We will work from your own ledgers rather than from a template, on the understanding that the budget records what the business meant to spend while the ledger records what it actually spent, and it is the second of those that a cost transformation has to begin from if its conclusions are to hold.

Our approach will be unhurried in its early weeks and deliberately so. We will first reconcile the cost base until neither side has cause to argue later about the denominator, then benchmark it against a comparator set we will agree with you, and only then form a view of what can responsibly be taken out and in what order the organization can absorb it. What the engagement is meant to deliver is a set of choices your leadership can own, supported by evidence your own people can rerun after we have gone; it is not meant to deliver a recommendation that arrives faster than the analysis beneath it can bear.

The People You Will Work With

Michael Walker will manage the engagement day to day and will be the person you deal with most often; he runs the workstream from end to end and is accustomed to carrying a client's question and the firm's answer across the same table without losing either. James Green will build and maintain the cost model and the exhibits that our findings will rest on, and Deborah Gordon will own the benchmarking and the data-heavy work that sits behind it; both of them keep to the firm's habit of letting a figure be traced back through the file to the place it came from. I will keep my own hand on the engagement at the points where a judgment must be made about how far a finding can be pressed before it outruns what we actually know, and nothing of consequence will leave the firm under our name without my having read it first.

Fees and Payment

Our fee for the engagement as I have described it is \$48,500, which covers the time of the people named above through the expected close of the work. We will render invoices against that amount as the engagement proceeds, and each will be payable within thirty days of your receipt of it. The fee covers our people and their time and not the incidental costs of the work, such as travel or the reproduction of materials, which we will incur only with your agreement and pass through to you at what they cost us; should the shape of the work change materially from what this letter contemplates, I will raise the question of the fee with you and we will settle it together before any further work begins, so that nothing ever reaches you on an invoice as a surprise.

Term and Termination

The engagement will begin on June 25, 2009 and is expected to run for something on the order of seven months, though we will treat it as complete when the work is genuinely done and not merely when the calendar has turned. Either of us may bring it to an end on fourteen days' written notice to the other; if you choose to do so, you will owe us for the work properly performed to that point and for any costs already committed on your behalf, and for nothing beyond that.

Confidentiality

Everything we learn about Brown and Sons in the course of this work we will hold in confidence and use only for the purposes of the engagement. That obligation binds every member of our team, it survives the close of the work, and it covers the fact of our involvement as fully as it covers its substance. We would ask the same of you in

respect of the methods and the written materials we share with you, which represent the firm's own way of working.

Limitation of Liability

We will perform the work with the care and skill you are entitled to expect of a firm engaged for it, and we stand behind what we do. We do not, however, control the decisions your leadership will ultimately take on the strength of our work, nor the conditions of the markets in which you operate, and so, save to the extent the law does not permit such a limit, our liability to you arising out of this engagement is limited to the fees paid under it.

Governing Law

This agreement is governed by the law of the state in which our firm is established, and any dispute arising under it will be determined by the courts of that state. Should any single provision of this letter be held unenforceable, the remainder of it *will continue in force, unaffected*.

If this letter reflects the understanding we reached, I would be grateful if you would sign one copy where indicated below and return it to us, keeping the other for your file; once your signed copy is in our hands, Michael Walker will write to you to fix the first meetings and the opening requests for information, so that we can begin without delay.

Julie Ramsey

Managing Principal

Date: June 15, 2009

Sandra Frazier

VP Finance, Brown and Sons

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